

still in effect as of writing this in early 2022. Over considerably longer periods, covering a multitude of market regimes, the stock markets tend to return closer to 5%.

There is a perception among the public that equities always go up and that one always has to be invested in this asset class. For some periods in history this has been true, but it can also be a dangerous illusion. Consider as an example if you had invested US\$100 in the global stock markets in 1999. Ten years later, you would still have a loss on your investment. Similarly, if you had invested your hundred dollars in 2007, half of it would be gone in a little over a year, and ten years later you would have a total profit of about 8%.

This in no way implies that you shouldn't hold a general exposure to the stock markets. For the vast majority of investors, it makes perfect sense to keep a portion of your portfolio in stocks or equity-based funds. But that, in turn, does not imply that you should keep the lion's share of your assets in this often fickle asset class. Alternative investments, such as futures, can make for an excellent portfolio diversification, providing for stronger long-term results.

What we see here from the futures models aren't all clear skies either. Attentive readers of the first edition of this book should notice how the performance of these two simplistic model iterations have been struggling in the years after that book came out. The purpose of these two initial models were to show how even rules so simple that they can be drawn on a napkin can provide sufficient results to prove the viability of the concept. As such, they still stand up, despite some clear issues.

Both of these strategies showed concerning drawdowns, larger than what had been seen in the previous edition. The fact that they underperformed equities in a strong bull market isn't surprising or worrying in itself. When the stock markets are on fire, they will outperform everything. The true value in futures models is in providing uncorrelated results, not to beat stocks in a bull market.

The most concerning thing that we see is not the depth of the drawdown, but the length. The past ten years have indeed been more difficult for purist trend followers than the decade before that. That does not mean that it was unprofitable or that trend following somehow stopped working. It was just a bit more difficult to generate returns, and many industry players started diversifying across strategies to seek additional sources of return. What is really interesting of course, is that even after a tough decade, during which